

Entrepreneurship Important & Recurring Questions

PYQ ANALYSIS (SERIES RQPS, FGHE, WXY4Z, SET 98)

1. Essential Numerical Questions (Guaranteed 5/3/2-Mark Questions)

- **Calculate Break-Even Point (BEP) with Sales Mix:** Every year, there is a long-answer question (5 marks) requiring you to calculate the **Weighted Average Contribution Margin** and **Break-Even Point** (in units and rupees) for a company selling multiple products (e.g., three varieties of soap or juice).
- **Calculate Economic Order Quantity (EOQ):** A frequent short-answer question asks you to calculate the EOQ given annual demand, ordering cost, and holding cost.
- **Calculate Return on Equity (ROE) / Return on Investment (ROI):** Questions often ask for the calculation of ROE or ROI based on net profit, equity, and debt figures.
- **Calculate Working Capital:** You will likely be asked to calculate **Gross Working Capital** or **Circulating Capital** from a list of assets and liabilities (Cash, Debtors, Stock, etc.).

2. Enterprise Growth Strategies (Mergers & Acquisitions)

- **Identify the Type of Merger/Acquisition:** You must be able to distinguish between:
 - **Horizontal vs. Vertical Mergers:** Mergers between competitors vs. mergers between suppliers/manufacturers.
 - **Types of Acquisitions:** Specifically **Friendly**, **Hostile**, **Reverse**, and **Back-flip** acquisitions.
- **Reasons for Mergers (Synergy):** A recurring question asks to explain "Synergy" as a reason for mergers, or to list other reasons like diversification and tax benefits.
- **Franchising:** Questions frequently ask for the definition of a **Franchise Agreement**, its main ingredients, or the advantages to the franchisor (e.g., cost advantages, risk sharing).

3. Resource Mobilization (Finance)

- **Venture Capital vs. Angel Investors:** You are consistently asked to define and distinguish between these two.
 - **Stages of Venture Capital:** Explain the specific stages: **Seed Capital**, **Start-up**, and **Early-Stage** financing.
 - **Features of Angel Investors:** List features like being affluent individuals who provide mentorship along with capital.
- **Primary Market Methods:** Explain methods of floating new issues, specifically **Private Placement**, **Rights Issue**, **Public Issue**, and **Offer to Employees**.

4. Enterprise Marketing

- **Pricing Strategies:** You will likely get a case study asking you to identify the pricing strategy used:
 - **Penetration Pricing** (low initial price) vs. **Skimming Pricing** (high initial price).
 - **Cost-Plus Pricing** vs. **Variable Pricing**.
- **Promotion Strategy:** Questions often ask to identify **Above-the-Line (ATL)** (mass media) vs. **Below-the-Line (BTL)** (direct) promotion strategies.
- **Channels of Distribution:** Factors affecting the choice of channel (market-related, product-related).

5. Entrepreneurial Planning

- **The Business Plan:** You generally need to identify components of a business plan from a text (e.g., **Marketing Plan**, **Operational Plan**, **Manpower Plan**).
- **Formats of Business Plan:** Know the difference between an **Elevator Pitch**, a **Pitch Deck**, and an **Executive Summary**.
- **Elements of Operational Plan:** Specifically **Scheduling**, **Follow-up**, and **Inspection**.

6. Sensing Opportunities

- **Trend Spotting:** Explain the ways to spot trends: **Read, Talk, Watch, and Think**.
- **Idea Fields:** Identify the source of an idea (e.g., **Natural Resources**, **Market-Driven**, **Service-Related**) from a case study.

Summary Checklist for Exam Prep:

1. **Formulas:** BEP (Units & ₹), EOQ, ROE, ROI, Working Capital.
2. **Definitions:** Franchise Agreement, Synergy, Angel Investor, Venture Capital Stages.
3. **Distinctions:** Skimming vs. Penetration Pricing, Horizontal vs. Vertical Merger, Private Placement vs. Rights Issue.

Study Hard. Be A Topper.